Vending Machines

During his stay in Switzerland in 2012, when he was about to finish his MBA, Sanjay Menon had an idea in mind to start a new business back home in India. In several European airports, he had seen some vending machines selling electronics (like iPods) rather than soft drinks or other inexpensive products. He thought that importing and selling those new-generation vending machines in India could be a good idea, especially when some of his relatives were already involved in the industry of vending services.

However, Sanjay did not have much money, so he showed his business plan to his rich uncle Anoop Patnaik, so as to get him involved in the new firm as the main shareholder. Anoop accepted to invest in the business, so they both went ahead and made a bank deposit of $120,000 (Sanjay invested $20,000, his uncle $100,000) as equity for the new firm. Additionally, at the end of the year, they borrowed some money from a bank ($40,000, 10% p.a.) to avoid potential cash tensions.

On December 30, they bought a small warehouse to store the machines, whose price was $100,000 ($40,000 the land, $60,000 the building). Sanjay paid $80,000 cash; the remaining amount was agreed to be paid on Dec 30 the following year. Both shareholders estimated the life of the warehouse to be 20 additional years.

The same day, Anoop bought some necessary furniture to run the business, paying $4,000 cash. That furniture was supposed to last five years.

The last day of the year, Sanjay and Anoop met to assess the situation of the firm. No machines had been sold yet. Sanjay had prepared the cash report shown below.

INPUTS	
Sanjay	$20,000
Anoop	$100,000
Loan	$40,000
TOTAL	$160,000

OUPUTS	
Warehouse	$80,000
Payment to supplier (first machines)	$20,000
Furniture	$4,000
Trips to Switzerland	$6,000
Cash position on Dec 31, 2012	$50,000
TOTAL	$160,000

Sanjay also mentioned that there were 20 machines in the warehouse, whose total cost had been $2,000 each.

Anoop read the report and told Sanjay that the information was not sufficient. He then asked for the Balance Sheet of the firm (Dec 31, 2012). Sanjay did not know exactly how to prepare it, but did his best.

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During 2013, Sanjay was in charge of the business, taking care of cash flows (i.e., cash inputs and outputs), but not really paying attention to the financial situation of the firm. Time went by quickly. At the beginning of December 2013, Sanjay got an e-mail from his uncle requiring the following information for year 2013:

- Balance Sheet (Dec 31)
- Income Statement
- Statement of Cash Flows

Sanjay gathered all the information he was able to find regarding operations during 2013 and summarized it as follows:

1. The firm imported 170 additional machines (on account, i.e., using trade credit), $2,000 each.
2. Fifty machines were sold (cash), at $3,000 each.
3. One hundred machines were sold (on account), $3,300 each.
4. During 2013, $250,000 were collected from customers who had not paid cash.
5. Likewise, the firm paid the cost of 140 machines to the supplier.
6. General and administrative expenses totaled $20,000 (paid cash).
7. The remaining money corresponding to the warehouse was paid.
8. On Dec 31, 2013, half of the bank debt (i.e., $20,000) was repaid.
9. Interest of the loan was paid.